

1: picture



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Turning Price Irrationality Into Dollars

3: text

The only independent platform that compares and procures real-time network pricing for high-cost healthcare claims with extreme pricing volatility

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THE OPPORTUNITY

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HealthRate is the **only independent catastrophic-claims pricing engine** built to exploit massive price variance across transplants, oncology, CGT, and other million-dollar cases. We routinely identify **\$50K–\$1M+ per case** in savings across payers — while protecting employers and TPAs from post-Cornell ERISA fiduciary exposure.

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THE THREE-ACT THESIS

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Act 1 — We Executed: Raised \$1M from First Trust Capital Partners(pre-seed), built production product, won HIMSS Best in Show, signed first customer, built \$9M+ pipeline with major payers.

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Act 2 — Strong Business: 87% gross margins, structural moat (networks can't compete due to conflict of interest), clear path to profitability. \$500M-\$1.8B TAM.

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Act 3 — Cornell = Mandatory = Unicorn: In April 2025, the Cornell / SCOTUS ruling clarified that employers + TPAs are fiduciaries for plan pricing. This creates a new compliance obligation: they must demonstrate a *prudent, documented process* for selecting networks and managing catastrophic claims. When the first \$100M ERISA settlement hits (soon), every plan needs a system like HealthRate. Pricing expands from \$0.15 PMPM to \$1–3 PMPM as this becomes mandatory infrastructure.

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TRACTION

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Product in production with customers

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Expert witness signed engagement with major law firm recruiting plaintiffs

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Annual burn: \$800K | Pipeline ARR: \$9M+ across major blue plans, regional payers, and TPAs

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Multiple deals are in late-stage contracting with 30–90 day close timelines

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THE STRUCTURAL MOAT

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Optum, Cigna, and other large players CANNOT build this — have conflicts of interest — they profit from the same opaque contracts employers must now justify. HealthRate has zero carrier alignment, giving us a **permanent defensibility advantage**.

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Competitors: none within 18–24 months

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THE TEAM

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Tim Michaels, CEO - 30-year insider in healthcare with deep expertise in specialty care pricing, network contracting, actuarial modeling, and fiduciary analytics at Optum / Ingenix / PwC.

Key Advisory Board Members:

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Paul Stordahl - Chief Actuary Emeritus, UnitedHealthcare

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Scott Bartsch - SVP, Oscar

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Robert Van Why - SVP, HealthPartners

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Mark Nathan - CEO and Founder, Burrow Software

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Expertise + asymmetric knowledge = decisive execution advantage.

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THREE PATHS TO UNICORN

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1. **TPA SaaS infrastructure** - enterprise platform adopted by payers, TPAs, stop-loss (\$500M-1B exit)

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2. **Post-Cornell compliance mandate** - required fiduciary tooling for all self-funded plans (\$1-3B exit)

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3. **Consumer platform** - 'Kayak for Healthcare' (\$3-10B exit)

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Three independent billion-dollar outcomes. We don't need all three. Any one path returns the fund.

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USE OF PROCEEDS

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1. **Close current pipeline & expand sales (40%)**

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2. **Scale platform, compliance features, and integrations (30%)**

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3. **Data ingestion & actuarial modeling expansion (15%)**

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4. **Operations & customer success (15%)**

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Extends our lead in an uncontested market and positions HealthRate to scale rapidly as imminent payer and TPA deals close

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CONTACT

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